

1. Judgment is entered in favor of Defendants GARY G. NISSEN, ALAN NISSEN, LAURIE NISSEN, and EXTREME TOYS FAMILY PARTNERSHIP and against Plaintiff PATRICIA L. NISSEN (deceased, by and through her Successor in Special Administration, Lysie B. Ashton) on all causes of action asserted in the Verified Complaint filed June 4, 2024.
2. Plaintiff shall take nothing by way of her Complaint.
3. The Court's prior orders awarding monetary sanctions as to Plaintiff and Plaintiff's counsel, Mark A. Mellor and The Mellor Law Firm, jointly and severally, shall pay to Defendants the total sum of \$2,720.00 (\$1,360.00 on Gary G. Nissen's Requests for Admission, Set One, and \$1,360.00 on Alan Nissen's Requests for Admission, Set One), plus interest at the legal rate from the date of the original November 17, 2025 orders until paid in full.
4. Defendants shall recover their costs of suit in the amount determined by the filing of a Memorandum of Costs pursuant to California Rules of Court, rule 3.1700.

As the Judgment is Vacated, the Court finds that Defendants' motion to enforce said Judgment is moot.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2600511	MARCIAL vs HYUNDAI MOTOR AMERICA	MOTION TO COMPEL

Tentative Ruling:

The Court DENIES the motion to compel arbitration on the ground that no valid and enforceable arbitration agreements exists.

Factual / Procedural Context:

Plaintiff, Manuel Alfredo Perez Marcial, alleges that on 2/18/23, he purchased a new 2023 Hyundai Palisade from Cardinale Way Hyundai in Corona, which was manufactured and/or distributed, and warranted by Defendant, Hyundai Motor America (HMA). The vehicle had defects and nonconformities to warranty, which substantially impair the use, value, and safety of the vehicle including ignition issues, defects in warning lights/symbols, and braking issues. He alleges that neither HMA nor its authorized repair facilities could conform the vehicle to warranties after a reasonable time. And HMA has failed to repair/replace the vehicle, or provide restitution. Plaintiff filed his Complaint on 1/20/26 alleging five causes of action: 1) violation of the Song Beverly Consumer Warranty Act (SBCWA) – Civil Code § 1793.2(d); 2) violation of the SBCWA – CC § 1793.2(b); 3) violation of the SBCWA – breach of express warranty; 4) violation of the SBCWA – breach of implied warranty; and, 5) violation of Bus. & Prof. Code § 17200.

Defendant, HMA, brings this motion to compel arbitration pursuant to the arbitration agreement (AA) within the Bluelink Connected Services Agreement (CSA) between Plaintiff and HMA, and to stay the action pending arbitration. (Federal Arbitration Act (FAA) 9 USC §§ 1-16; CCP § 1281, *et. seq.*) HMA argues that the FAA expressly applies to the CSA; that the AA is valid and enforceable; and, that all of Plaintiff's claims fall within the scope of the AA in the CSA.

Plaintiff, Manual Alfredo Perez Marcial, opposes the motion arguing that HMA moves based on either a clause in the warranty manual or a clause in the Bluelink CSA (of note is that HMA references only the Bluelink CSA, not any clause in any warranty manual); that HMA has not established Plaintiff's consent to enter an AA; that there is no estoppel (although the Motion does not mention estoppel); that there is no longer a presumption of arbitration (*Morgan v. Sundance* (2022) 596 U.S. 411, 418-419); that HMA has the burden of proving the existence of an AA, which it did not do; and, that HMA cannot compel arbitration pursuant to the Bluelink CSA as there is no evidence that Plaintiff enrolled in Bluelink.

The Reply re-asserts prior arguments and adds that Plaintiff has not rebutted his consent; that HMA does not rely on any estoppel theory nor is it seeking to compel arbitration based on a clause in the warranty manual; and, that Plaintiff misunderstands the *Morgan* decision, which held only that courts may not invent arbitration-specific procedural rules regarding waiver.

Analysis:

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC rule 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–19.) The party seeking arbitration must prove the existence of the arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) The burden then shifts to the opposing party to prove any defense such as unconscionability. (*Id.*)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.”

(*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

The California Supreme Court recently explained in *Fuentes v. Empire Nissan, Inc.* (2026) 19 Cal.5th 93, 110, that relying on a policy favoring arbitration “as an interpretive presumption” was “misplaced.” “[T]he policy “favoring” arbitration is not one of promoting arbitration over litigation, but instead of ensuring that arbitration agreements are not disfavored, i.e., that they are treated like other contracts.” (*Id.* citing *Quach v. Cal. Commerce Club, Inc.* (2024) 16 Cal.5th 562, 579.) Thus, there is no longer a presumption that the law favors arbitration over litigation in court.

The FAA Applies

HMA argues that the FAA applies to the AA in the CSA in this case. The FAA governs arbitration in written contracts involving interstate commerce, and provides that arbitration agreements are valid, irrevocable, and unenforceable unless there are grounds that exist at law or in equity for the revocation of any contract. (9 USC § 2; *Rittmann v. Amazon.com, Inc.* (9th Cir. 2020) 971 F.3d 904, 909.) The FAA embodies a strong federal policy favoring arbitration. To assure uniform results as to arbitrability of disputes subject to the Act, conflicting state law is preempted under the Supremacy Clause. (*Southland v. Corp. v. Keating* (1984) 465 U.S. 1, 12.) The party claiming that the contract involves interstate commerce and the FAA preempts state law has the burden of proving that the underlying transaction involved interstate commerce. (*Woolfs v. Sup. Ct. (Turner)* (2005) 127 Cal.App.4th 197, 211-214.) Importantly, the FAA applies when an arbitration agreement expressly states that it is governed by the FAA. (*Aviation Data, Inc. v. Am. Express Travel Related Servs. Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.)

Here, the AA in the CSA does *expressly* state that it is governed by the FAA. (Dec.Rao ¶ 20, Ex. “B”, § 14.C. [p. 19 of 28].) HMA also argues that the FAA applies because the AA is in writing and “automotive sales necessarily involve interstate commerce” (Motion, p. 3:22-28; see also *Ibid.*) The CSA provides: “This Agreement evidences a transaction in interstate commerce, and thus the Federal Arbitration Act governs the interpretation and enforcement of this arbitration provision.” (*Ibid.*) As a result, the FAA applies.

Existence of an Arbitration Agreement (AA)

Defendant, HMA, asserts that Bluelink is a complimentary 3-year subscription provided with the sale of the vehicle. (Dec.Rao ¶ 21, Ex. “C”.) Plaintiff agreed to arbitrate his any disputes regarding Hyundai’s Bluelink services for the subject vehicle

when he enrolled in Bluelink Services on the Dealer Web Portal (DWP) through a process known as the Dealer-Assisted Enrollment process. (Dec. Rao ¶¶ 6-7.) Importantly, any writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence. (Evidence Code §1401; *People v. Valdez* (2011) 201 Cal.App.4th 1429, 1435.) “Authentication of a writing means (a) the introduction of evidence sufficient to sustain a finding that it is the writing that the proponent of the evidence claims it is or (b) the establishment of such facts by other means provided by law.” (Evid. Code § 1400; *People v. Valdez, supra.*)

The declaration of Vijay Rao, the Director of Ops & Owner Apps/Web for HMA, describes the process by which customers “like Plaintiff” agree to the CSA upon enrolling their vehicle in Bluelink services. (Declaration of Vijay Rao, ¶¶ 1, 8.) First, a dealer employee creates an account for the customer on the dealer-owned device, and associates the customer’s vehicle with that account. (*Id.* ¶¶ 8, 21, Ex. “D”.) Dealer employees are required to follow the same specific steps to interact with a customer enrolled in Bluelink services. (*Id.* ¶ 9.) Customers are required to enter their personal details and are presented with a checkbox indicating acceptance of the Bluelink terms and conditions and then select the “complete” button just below. (*Id.* ¶¶ 10-11.) Plaintiff would have had to check the box himself to acknowledge assent to the CSA. (*Id.* ¶ 11.) Mr. Rao provides additional general information about activating Bluelink services. (*Id.* ¶¶ 12-14.)

Mr. Rao declares he is familiar with and has access to the database containing Plaintiff’s Bluelink enrollment and acceptance documents. (*Id.* ¶¶ 15-17.) Based on his review of Plaintiff’s records, he enrolled his vehicle in Bluelink services on 2/18/23 using the DWP and assented on that date to the effective CSA. (*Id.* 18.) Exhibit A is copy of a redacted screenshot of the internal database record of Plaintiff’s assent, which is explained by Mr. Rao. (*Id.* ¶ 19, Ex. “A”.) There was also an acknowledgment checkbox screen provided by HMA that does not identify any particular individual. (*Id.* Ex. “C”.) Mr. Rao indicates it is what Plaintiff “would have seen when he assented to the then-effective CSA on the DWP using the Dealer-Assisted Enrollment process. (*Id.* ¶ 21.) Exhibit B is the CSA “that was in effect at that time.” (*Id.* at ¶ 20, Ex. “B”.) All of the documents presented by Mr. Rao are generic, and not specific to Plaintiff.

Thus, there is very little evidence to support that Plaintiff actually checked the box, or otherwise “signed” or agreed to the CSA. While Rao contends that on 2/18/23, Plaintiff enrolled his vehicle in Bluelink services, this statement lacks foundation. (*Id.* at ¶ 18.) Rao does not state he has personal knowledge that Plaintiff enrolled in the CSA at the time of purchase. The only document that refers to Plaintiff is Ex. “A”. Thus, it is unclear whether Plaintiff agreed to the CSA.

Even if Plaintiff did agree to the CSA, the agreement does not cover Plaintiffs’ claims. The CSA states:

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services,

Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. However, any dispute you or we may have relating to copyrights or other intellectual property shall not be governed by this agreement to arbitrate. For the avoidance of doubt, this means that any claims you or we may have relating to intellectual property rights against the other, including injunctive and other relief sought, may be brought in a court of competent jurisdiction. (Dec.Rao, Ex. "B", § 14.C.(a) at p. 9 of 11.)

The agreement also states that the agreement to arbitrate otherwise includes, but is not limited to:

claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising); claims that are currently the subject of purported class action litigation in which you are not a member of a certified class; claims relating to the Vehicle for which you seek product or service support via the sites; claims arising out of or relating to the Telephone Consumer Protection Act; claims relating to your data privacy or information security; and claims that may arise after the termination of this Agreement. (*Ibid.*)

The CSA covers enforcement of the CSA, use of the site, and products purchased through the site(s).¹ Nowhere in Plaintiff's Complaint are there any allegations of defects in Bluelink services, Connected Services, vehicle technology, issues with the use of the Bluelink site, or defects with products purchased through the site. Defendant argues that the arbitration agreement must be broadly construed to cover all disputes related to the "Vehicle" and its "warranty." This argument lacks merit. "General contract law principles include that the basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting. ... The words of a contract are to be understood in their ordinary and popular sense. ... Furthermore, the whole of a contract is to be taken together, so as to give effect to every part, if

¹ The CSA indicates that "Connected Services" are the vehicle technology and service functions received as part of the enrollment in a Hyundai Bluelink or Genesis Connected Services Service Plan, including but not limited to: remote service activation; stolen vehicle recovery; enhanced roadside assistance; SOS/CAN; POI send-to-car and destination search; digital key 2.0; Verizon hotspot; and over the Air software updates.

reasonably practicable, each clause helping to interpret the other.” (*Franco v. Greystone Ridge Condominium* (2019) 39 Cal.App.5th 221, 227 [internal citations and quotations omitted].) Here, Defendant takes the terms “Vehicle” and “warranty” too far. These words must be construed in the context of the entire CSA. This agreement clearly governs the terms and conditions of “Connected Services,” not warranties (particularly under the SBA). Thus, the arbitration provision must be construed as covering disputes related to these services only.

Based on the foregoing, HMA has failed to meet its burden to show the existence of a valid and enforceable arbitration agreement.